Cardinal Infrastructure (CDNL)
Southeast Infrastructure Roll-Up

Cardinal Infrastructure screens as a Buy with a $38.93 blended target, 156% above the current price.

Analyst: Justin Wen

BUY	$38.93	+156%	$15.20
INVESTMENT RATING	BLENDED TARGET	BLENDED UPSIDE	REFERENCE PRICE

Southeast Infrastructure Roll-Up. Full-service civil and site development provider using a self-performing model in high-growth SE markets. Q2 revenue of $226.9M was up 114% YoY, driven by scale and the ALGC acquisition [8-K]. Margins Are the Whole Story. Adj EBITDA margin fell to 12.4% from 18.6% [8-K]. Management lifted the FY2026 revenue guide to $880-900M while cutting the margin guide. The market prices -14.3% implied revenue CAGR, below the 8% bear case [DCF model]. 103% Upside If Execution Holds. At $15.79 [

The latest print

Margins Are the Whole Story. Adj EBITDA margin fell to 12.4% from 18.6%. Management lifted the FY2026 revenue guide to $880-900M while cutting the margin guide. The market prices -14.3% implied revenue CAGR, below the 8% bear case.

103% Upside If Execution Holds. At $15.79, DCF base $31.96 implies 103% upside and forward P/E is 4.5x. Distressed pricing for a growing business, but leverage (D/E 0.85) is the sword of Damocles until margins recover.

$226.9M	12.4%	$4.7M	$880-900M	Below prior 20%+	$313M
REVENUE (Q2 '26)	ADJ EBITDA MARGIN (Q2 '26)	NET INCOME (Q2 '26)	FY2026 REVENUE GUIDE (LIFTED)	FY2026 EBITDA MARGIN GUIDE (CUT)	MARKET CAP

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Cardinal Infrastructure Group Inc. valuation framework

Key metrics in detail

METRIC	LATEST	VS YEAR AGO	TREND
Revenue (Q2 '26)	$226.9M	+114%	Up
Adj EBITDA Margin (Q2 '26)	12.4%	-620 bps (18.6% PY)	Down
Net Income (Q2 '26)	$4.7M	-35%	Down
FY2026 Revenue Guide (lifted)	$880-900M	Raised from $665-678M	Up
FY2026 EBITDA Margin Guide (cut)	Below prior 20%+	Margin guide cut on raise	Down
Market Cap	$313M	-84% from 52w high $96.40	Down
Forward P/E	4.5x	vs trailing 17.2x	Down

The moat

FY2026 revenue guide lifted to $880-900M, including the ALGC acquisition contribution

The growth engine

Self-performing civil and site development model across high-growth Southeast markets

Three scenarios make the valuation range explicit

Three scenarios, weighted 25% / 50% / 25% into the blended target.

SCENARIO	WEIGHT	2026-30 CAGR	2030 REVENUE	2030 EBIT MARGIN	TARGET	UPSIDE
Bear	25%	6.0%	$1.11B	11.8%	**$33.24**	+119%
Base	50%	12.0%	$1.40B	12.3%	**$38.28**	+152%
Bull	25%	18.0%	$1.74B	13.8%	**$45.93**	+202%

Bear: downside case at $33.24 (+119%).

Base: central case at $38.28 (+152%).

Bull: upside case at $45.93 (+202%).

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The probability-blended target implies 156% upside

A 25% Bear / 50% Base / 25% Bull weighting implies +156% from the $15.20 reference price.

$38.93
BLENDED TARGET

The valuation uses a multi-year unlevered free cash flow DCF. The discount rate is the live CAPM rate: the 10-year Treasury yield plus beta times the market-implied equity risk premium. Terminal value is a Gordon perpetuity on terminal-year free cash flow.

Mechanics are explicit. The bridge runs revenue to EBIT to cash taxes, then adds back D&A and subtracts capex and working-capital investment to reach unlevered free cash flow. Targets are divided by diluted shares outstanding.

Revenue base (2025E)	**$890M**
Valuation horizon	**2026-2030**
Live WACC	**8.13%**
Terminal growth	**2.5%**
Net cash	**$142M**
2030 FCF (Base)	**$123M**
10-year Treasury yield	**5.1%**
Beta	**0.74**
Equity risk premium	**3.4%**

BUY | $38.93 blended target | Wen

The reverse DCF: what the market prices in

Holding the base-case FCF margin flat, the market-implied revenue CAGR is -18.5%. below Bear case (6%) — pessimistic

Reverse DCF sensitivity

Implied enterprise value and share price at each five-year revenue CAGR, with the base-case free cash flow margin held flat. The highlighted row sits nearest the market-implied CAGR.

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CAGR	Implied EV	Implied price	CAGR	Implied EV	Implied price	CAGR	Implied EV	Implied price
-25%	$0.4B	$12.17	-5%	$1.0B	$24.06	+15%	$2.0B	$45.60
-24%	$0.5B	$12.60	-4%	$1.0B	$24.88	+16%	$2.1B	$47.01
-23%	$0.5B	$13.03	-3%	$1.1B	$25.72	+17%	$2.2B	$48.45
-22%	$0.5B	$13.49	-2%	$1.1B	$26.58	+18%	$2.2B	$49.92
-21%	$0.5B	$13.96	-1%	$1.2B	$27.47	+19%	$2.3B	$51.43
-20%	$0.5B	$14.45	+0%	$1.2B	$28.39	+20%	$2.4B	$52.98
-19%	**$0.6B**	**$14.95**	+1%	$1.3B	$29.33	+21%	$2.4B	$54.57
-18%	$0.6B	$15.47	+2%	$1.3B	$30.30	+22%	$2.5B	$56.19
-17%	$0.6B	$16.01	+3%	$1.3B	$31.30	+23%	$2.6B	$57.86
-16%	$0.6B	$16.57	+4%	$1.4B	$32.32	+24%	$2.7B	$59.56
-15%	$0.7B	$17.15	+5%	$1.4B	$33.38	+25%	$2.8B	$61.31
-14%	$0.7B	$17.75	+6%	$1.5B	$34.46	+26%	$2.9B	$63.09
-13%	$0.7B	$18.37	+7%	$1.5B	$35.57	+27%	$2.9B	$64.92
-12%	$0.8B	$19.00	+8%	$1.6B	$36.71	+28%	$3.0B	$66.79
-11%	$0.8B	$19.66	+9%	$1.7B	$37.89	+29%	$3.1B	$68.70
-10%	$0.8B	$20.34	+10%	$1.7B	$39.09	+30%	$3.2B	$70.66
-9%	$0.9B	$21.04	+11%	$1.8B	$40.33	+31%	$3.3B	$72.66
-8%	$0.9B	$21.76	+12%	$1.8B	$41.59	+32%	$3.4B	$74.70
-7%	$0.9B	$22.51	+13%	$1.9B	$42.90	+33%	$3.5B	$76.79
-6%	$1.0B	$23.27	+14%	$2.0B	$44.23			

Balance sheet and share count reconciliation

Enterprise value converts to equity value after net debt, and targets divide by diluted shares.

SCENARIO	ENTERPRISE VALUE	EXIT EV/ FCF	TERMINAL GROWTH	PLUS: NET CASH	EQUITY VALUE	TARGET
Bear	$1.44B	—	2.5%	$142M	$1.58B	**$33.24**
Base	$1.68B	—	2.5%	$142M	$1.82B	**$38.28**
Bull	$2.04B	—	2.5%	$142M	$2.18B	**$45.93**

Fair value across scenarios

Model fair value by year under each scenario, on the same paths the ticker page chart draws.

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SCENARIO	2026	2026	2027	2028	2029	2030
Bear	$35.94	$35.94	$38.72	$40.51	$42.08	$43.43
Base	$41.39	$41.39	$44.35	$46.41	$48.17	$49.70
Bull	$49.66	$49.66	$53.12	$55.77	$58.13	$60.18

Methodology note. The discount rate is the live U.S. 10-year Treasury yield plus beta times equity risk premium. Terminal growth reflects long-run nominal GDP. The $38.93 headline target applies 25% / 50% / 25% Bear / Base / Bull weights.

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The franchise deep dive

FY2026 revenue guide lifted to $880-900M, including the ALGC acquisition contribution

Self-performing civil and site development model across high-growth Southeast markets

Management targeting 20%+ adjusted EBITDA margin for FY2026, implying recovery from Q2's 12.4%

Revenue and margin trend

METRIC	2024	2025	TTM	Q2 '26	FY2026E
Revenue	n/a	$0.46B	$0.67B	$0.23B	$880-900M
Gross Margin	n/a	21.1%	n/a	n/a	n/a
Op Margin	n/a	8.8%	7.0%	n/a	n/a

Valuation cross-check

Fwd P/E 4.5x

DCF Base $31.96

NTM EV/EBITDA 3.5x

103% upside to the base case. But the reverse DCF implies -14.3% revenue CAGR: the market is pricing contraction, so the discount may be earned, not gifted.

Heavy civil/infrastructure peers trade mid-single-digit EV/EBITDA

CDNL screens at or below peer multiples despite a faster revenue trajectory. Peers are larger, less leveraged and more diversified, which justifies some discount.

Stock $15.79 vs 52w high $96.40

Down roughly 84% from the high as margin compression and acquisition digestion reset expectations. Limited public history makes historical comparison thin.

What to monitor

Nov 2026. Q3 2026 Earnings (Two-Sided): Adj EBITDA margin was 12.4% in Q2 vs 18.6% a year ago. Recovery toward the 20% target is the entire bull case test.

2026. ALGC Integration (Two-Sided): Acquisition closed Feb 18, 2026 and drives the $880-900M revenue guide. Execution and margin accretion are unproven.

2026-2027. Southeast Infrastructure Cycle (Positive): Civil and site development demand across high-growth SE markets supports backlog, but is cyclical and weather-exposed.

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Financial summary: income statement

YEAR	REVENUE	GROSS PROFIT	OPERATING INCOME	EBITDA
2025	$456M	$96M	$40M	$72M

Balance sheet

YEAR	TOTAL ASSETS	TOTAL LIABILITIES	TOTAL EQUITY	CASH
2025	$395M	$255M	$58M	$97M

Cash flow

YEAR	OPERATING CF	CAPEX	FINANCING CF	FREE CF
2025	$38M	$-44M	$140M	$-6M

Methodology note. The discount rate is the live U.S. 10-year Treasury yield plus beta times equity risk premium. Terminal growth reflects long-run nominal GDP. The $38.93 headline target applies 25% / 50% / 25% Bear / Base / Bull weights.

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Agency risk score 67 of 100: balanced, typical corporate alignment

The score follows the website's Executive Alignment & Agency Risk model: insider ownership up to 40 points, open-market Form 4 flow over the trailing six months up to 30, and pay-for-performance up to 30. Insiders hold 8.76% of shares outstanding. Form 4 filings over the trailing six months show $9.57M of open-market purchases against $0 of sales, a net flow of $9.57M. One-year total shareholder return is -35.3% against CEO total pay of $450.0K (Mr. Jeremy Spivey), which the model scores as SUB-OPTIMAL ALIGNMENT.

67

AGENCY RISK SCORE, OF 100

The three components

COMPONENT	SCORE	WHAT THE SITE SHOWS
Insider Ownership (Skin in the Game)	25 / 40	8.76% of shares held by insiders
Form 4 Flow (Conviction Flow)	30 / 30	Buys $9.57M (8) vs sales $0 (0), net $9.57M, trailing six months
Pay-for-Performance	12 / 30	SUB-OPTIMAL ALIGNMENT: Negative Shareholder Returns vs Static Executive Comp. 1Y TSR -35.3%; Mr. Jeremy Spivey, CEO & Chairman, total pay $450.0K
Agency Risk Score	**67 / 100**	Regime: BALANCED / TYPICAL CORPORATE

Recent Form 4 filings

DATE	FILER	RELATION	TYPE	SHARES	VALUE
2026-08-17	Wimmer Richard Bennett	Director	BUY	7,500	$293.5K
2026-08-14	Zelman Ivy	Director	BUY	12,647	$500.9K
2026-08-14	Lee Richard Melvin Jr.	Director	BUY	34,000	$1.25M
2026-08-14	Spivey Jeremy Simmons	Chief Executive Officer	BUY	83,350	$3.20M
2026-08-14	Rowe Michael Bruce Jr.	Chief Financial Officer	BUY	7,000	$255.7K
2026-08-14	Wood Benjamin A.	Chief Operating Officer	BUY	25,700	$1.01M
2026-08-14	Wood Anthony Leon Jr	Director	BUY	51,400	$2.02M
2026-05-27	Wood Benjamin A.	Chief Operating Officer	BUY	20,000	$1.03M

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SEC proxy audit, DEF 14A filed 2026-04-24

Alignment grade D. COMPENSATION DATA EXCLUDED FROM EXCERPT. Jeremy Spivey, fiscal 2025 vs fiscal 2024; total compensation change year on year: N/A.

BASE SALARY	STOCK AWARDS	NON-EQUITY INCENTIVE	OTHER COMPENSATION
N/A	N/A	N/A	N/A

The excerpt terminates prior to page 26, omitting the Summary Compensation Table and CD&A disclosures necessary to quantify executive pay. However, disclosures reveal significant insider liquidity surrounding the December 2025 IPO, including an $83.3 million unit redemption to CEO Jeremy Spivey alongside ongoing related-party lease arrangements. Because the IPO closed on December 9, 2025, the Compensation Committee held zero formal meetings during fiscal 2025, leaving governance oversight newly nascent.

Proxy audit source: SEC EDGAR DEF 14A, audited 2026-10-18 by the weekly proxy pipeline. Filing: https://www.sec.gov/Archives/edgar/data/2079999/000119312526177393/cdnl-20260424.htm

Methodology. This module reuses the website's Executive Alignment & Agency Risk model unchanged. Scores of 75 and above band as founder-mode, high conviction; 45 to 74 as balanced, typical corporate; below 45 as high agency risk. Inputs are the same feeds behind the site model (Yahoo Finance insider holdings, Form 4 transactions and executive compensation) plus the SEC DEF 14A CD&A audit from the weekly proxy pipeline. Computed 21 October 2026 for this note.

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The bear case

Margin Collapse

Adjusted EBITDA margin fell to 12.4% in Q2 from 18.6% a year ago, and management cut the full-year margin guide even while lifting revenue. Acquisition mix is diluting profitability.

Leverage on a Small Base

$120M of debt against $140M of equity (D/E 0.85) with thin cash flow conversion. Small caps with leverage have limited room for error if margins stay depressed.

Cyclical + Integration Risk

Civil and site development is cyclical, weather-exposed, and concentrated in the Southeast. The ALGC acquisition adds integration risk on top of cycle risk.

The strengths

Operating Quality

Small-cap civil/infrastructure contractor with thin moat (competitive bidding), 21% gross and 8.8% operating margins, and leveraged balance sheet (D/E 0.85). Cyclical, weather-exposed, no pricing power.

Recent Trend

Revenue exploding via acquisition (+114% YoY in Q2) but quality deteriorating: adj EBITDA margin collapsed 18.6% to 12.4%, net income fell 35%, and the stock is down 84% from its high. Growth without profit.

Forward Growth

Guided revenue of $880-900M with ALGC, plus SE infrastructure tailwinds and a self-performing model. But the margin guide was cut, integration is unproven, and civil construction is cyclical.

Valuation

DCF base $31.96 vs spot $15.79 implies 103% upside. Forward P/E 4.5x and NTM EV/EBITDA 3.5x are distressed multiples. Reverse DCF prices -14.3% revenue CAGR, below the 8% bear case: the market prices contraction.

Cascadia scorecard

Composite score 54: Fair. Confidence Medium, as of 17-Oct-2026.

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PILLAR	RATIONALE	SCORE
Operating Quality	Small-cap civil/infrastructure contractor with thin moat (competitive bidding), 21% gross and 8.8% operating margins, and leveraged balance sheet (D/E 0.85). Cyclical, weather-exposed, no pricing power.	40
Recent Trend	Revenue exploding via acquisition (+114% YoY in Q2) but quality deteriorating: adj EBITDA margin collapsed 18.6% to 12.4%, net income fell 35%, and the stock is down 84% from its high. Growth without profit.	50
Forward Growth	Guided revenue of $880-900M with ALGC, plus SE infrastructure tailwinds and a self-performing model. But the margin guide was cut, integration is unproven, and civil construction is cyclical.	55
Valuation	DCF base $31.96 vs spot $15.79 implies 103% upside. Forward P/E 4.5x and NTM EV/EBITDA 3.5x are distressed multiples. Reverse DCF prices -14.3% revenue CAGR, below the 8% bear case: the market prices contraction.	72
Catalysts & Risk	Q3 margin recovery is the make-or-break catalyst. Risks dominate: leverage at D/E 0.85 on a small base, ALGC integration, cyclical SE construction exposure, thin analyst coverage. Negatively skewed until margins stabilize.	45

Investment view

Q3 margin trajectory is the swing factor: sustained adjusted EBITDA recovery toward 20% would validate the bull case and the $31.96 base. Further erosion, or debt stress, would confirm the market's -14.3% implied contraction.

Investment view: Buy. The $38.93 blended target implies +156%, balancing the $33.24 / $38.28 / $45.93 Bear / Base / Bull outcomes.

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